Experiment 6 Instructions

We are going to set up a market in which you will be buyers or sellers of home painting services. I will now give each buyer and seller a numbered playing card. Some cards have been removed from the deck, and all remaining cards have a number. Please hold your card so that others do not see the number. The buyer's cards are red (hearts or diamonds), and the seller's cards are black (clubs or spades). *For the buyers, their number is the maximum willingness to pay for painting. For sellers, their card number represents the minimum price (i.e. cost) they would accept to make a trade.*

Trading: Buyers and sellers will meet in the centre of the room and negotiate during a five-minute trading period. When a buyer and a seller agree on a price, they will come together to the front of the room to report the price, which will be announced to all by writing it on the whiteboard. Then the buyer and seller will turn in their cards, return to their original seats, and wait for the trading period to end. There will be several market periods where new cards will be distributed.

Sellers: You can each sell a single unit of the commodity during a trading period. The number on your card is the cost (in $) that you incur if you make a sale. *You will be required to sell at a price that is no lower than your cost (that is, the number on your card). Your earnings on the sale are calculated as the difference between the price that you negotiate and your cost.* If you do not make a sale, you do not earn anything nor incur any cost in that period. Suppose that your card is a 2 of clubs, and you negotiate a sale price of $3. Then you would earn $3-$2 = $1. You would not be allowed to sell at a price below $2 with this card (2 of clubs). If you mistakenly agree to a price that is below your cost, then the trade will be invalidated when you come to the front desk; your card will be returned, and you can resume negotiations.

Buyers: You can each buy a single unit of the commodity during a trading period. The number on your card is the value (in $) of your budget. *You will be required to buy at a price that is no higher than the value number on the card. Your earnings on the purchase are calculated as the difference between the value number on the card and the price that you negotiate.* If you do not make a purchase, you do not earn anything in the period. Suppose that your card is a 9 of diamonds, and you negotiate a purchase price of $4. Then you would earn $9-$4=$5. You would not be allowed to buy at a price above $9 with this card (9 of diamonds). If you mistakenly agree to a price above your value, the trade will be invalidated at the front desk; your card will be returned, and you can resume negotiations.

Recording earnings: Some sellers with high costs and some buyers with low values may not be able to negotiate a trade, but do not be discouraged, since new cards will be passed out at the beginning of the next round. Remember that earnings are zero for any unit not bought or sold (sellers incur no cost, and buyers receive no value). When the period ends, I will collect cards for the units not traded, and you can calculate your earnings while I shuffle and redistribute the cards. Your total earnings equal the sum of earnings for units traded in all periods, and you can use the Earnings Record Form to keep track of your earnings. Sellers use the left side of the Earnings Record Form, and buyers use the right side. At this time, please draw a diagonal line through the side that you will not use. All earnings are hypothetical. Please, do not talk with each other until the trading period begins. Are there any questions?

Final Observations: When a buyer and a seller agree on a price, both should immediately come to the front table to turn in their cards together, so that we can verify that the price is neither lower than the seller's cost nor higher than the buyer's value. If there is a line, wait together with your trading partner. After the price is verified, it will be written on the board and announced loudly. Then those two traders can return to their seats to calculate their earnings.

Earnings Record Form

Name:

Sellers	**Buyers**
1st Period (cost =) _____ - _____ = (price) - (cost) (earnings)	1st Period (value =) _____ - _____ = (value) - (price) (earnings)
2nd Period (cost =) _____ - _____ = (price) - (cost) (earnings)	2nd Period (value =) _____ - _____ = (value) - (price) (earnings)
3rd Period (cost =) _____ - _____ = (price) - (cost) (earnings)	3rd Period (value =) _____ - _____ = (value) - (price) (earnings)
4th Period (cost =) _____ - _____ = (price) - (cost) (earnings)	4th Period (value =) _____ - _____ = (value) - (price) (earnings)
5th Period (cost =) _____ - _____ = (price) - (cost) (earnings)	5th Period (value =) _____ - _____ = (value) - (price) (earnings)
6th Period (cost =) _____ - _____ = (price) - (cost) (earnings)	6th Period (value =) _____ - _____ = (value) - (price) (earnings)
7th Period (cost =) _____ - _____ = (price) - (cost) (earnings)	7th Period (value =) _____ - _____ = (value) - (price) (earnings)
8th Period (cost =) _____ - _____ = (price) - (cost) (earnings)	8th Period (value =) _____ - _____ = (value) - (price) (earnings)